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EARNINGS CALL
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Sea Limited · 31 turns · 11 participants

CAST (IN ORDER OF APPEARANCE)

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OPERATOR Operator

Good morning and good evening to all and welcome to the Sea Limited first quarter 2026 results conference call. All lines have been placed on mute to prevent any background noise. After this figures remarks there will be a question and answer session. If you would like to ask a question during this time simply press star followed by the number one on your telephone keypad. If you would like to withdraw your question press star one again. For operator assistance throughout the call please press star zero and finally if you would like to advise all participants that this call is being recorded. Thank you. I'd like to now turn and welcome the call over to Ms. Rebecca Lee to begin the conference. Please go ahead.

REBECCA LEE Investor Relations

Hello, everyone, and welcome to SEEDS 2026 First Quarter Earnings Conference Call. I am Rebecca from SEEDS Investor Relations Team. On this call, we may make forward-looking statements which are inherently subject to risks and uncertainties and may not be realized in the future for various reasons as stated in our press release. Also, this call includes the discussion of certain non-GAAP financial measures such as adjusted EBITDA. We believe these measures can enhance our investors' understanding of the actual cash flows of our major businesses when used as complement to our GAAP disclosures. For discussion of the use of non-GAAP financial measures and reconciliation with the closest GAAP measures, please refer to the section on non-GAAP financial measures in our press release. I have with me Chief Chairman and Chief Executive Officer Forrest Lee, President Chris Fung, and Chief Financial Officer Tony Ho. Our management will share strategy and business updates, operating highlights, and financial performance for the first quarter of 2026. This will be followed by a Q&A session in which we welcome any questions you have. With that, let me turn the call over to Forrest.

FORREST LEE Chief Chairman and Chief Executive Officer

Hello everyone, and thank you for joining today's call. We have had a strong start to the year. In the first quarter, we generated over $7 billion of revenue, representing 47% year-on-year growth. adjusted EBITDA exceeded $1 billion for the first time. As we have shared before, 2026 is a year where we are leaning into growth investments to deepen our competitive mode while maintaining financial discipline. Our strong revenue growth reflects the effectiveness of these investments, and we are already seeing unique economics start to improve for some of these initiatives. We believe this is the right approach to maximize long-term value, giving the significant runway for growth still ahead of us in our market. With that, let me take you through each business' performance, starting with Shopee. Shopee delivered another record-setting quarter, achieving new highs in GMV, gross order volume, and revenue. GMV grew 30% year-on-year in the first quarter. At the same time, we maintained financial discipline generating an adjusted EBITDA of over $220 million. Our monetization strengthened further in the first quarter. Ad revenue grew 80%, and ad take rate increased by more than 90 basis points year-on-year. Ad paying sellers and their average ad spend both increased by around 35% year-on-year, reflecting the strong value sellers see in our ad offerings. Our results validate the operational priorities we have laid out for Shopee, improving price competitiveness, service quality, and our content ecosystem. Our strong execution across these priorities drove user acquisition and engagement in the first quarter. Average monthly active buyers increased 16% year-on-year, and the buyer purchase frequency grew around 12% year-on-year. We continue to deepen our structural mode across logistics, Shopee VIP, and content. First, logistics continues to be one of our most important depreciators. XPX Express remains one of the largest e-commerce logistics solution providers in our market. We have developed strong capabilities to dynamically optimize for speed, cost, and user preference. In the first quarter, we continue to scale delivery options serving different consumer demands while maintaining cost leadership. We have seen strong adoption of our instant and same-day delivery services. With greater economics of scale, we are seeing lower delivery costs for order for these faster services compared to last year. For example, in Indonesia, Our instant delivery service can deliver orders in as little as two hours in urban areas. Order volumes for this service grew over 35% in the first quarter, with cost per order reducing by around 20% year-on-year. Building this service has enabled us to extend our product assortment into higher frequency categories. We expanded partnerships with major convenience stores and the pharmacy chain. such as Indomaret. At the end of March, we had around 7,000 offline stores available on our instant services. This has shifted more offline purchasing behavior online and into the Shopee ecosystem. Buyers using instant delivery enjoy greater convenience, and we are seeing such buyers spending more with better retention on Shopee. Beyond delivery, we are increasing our focus on fulfillment as a natural extension of our logistics capability. We are making good progress. In the first quarter, fulfillment order volumes grew by around 25% sequentially. Fulfillment allows for faster and more reliable delivery, while enabling sellers to operate and scale more efficiently on our platform. We already see this happening. with our fulfillment orders consistently delivering faster than the platform average. In Asia, over one-third of parcels fulfilled by us were delivered within the next day in March, much higher than the platform average. The combination of fulfillment with our extensive delivery network allows us to drive significant improvements in both service quality and cost efficiency. For example, In Taiwan, our collection point network expanded to over 3,100 locations at the end of the first quarter, nearly 50% more locations compared to just a year ago. We leveraged our growing fulfillment capability to scale initiatives such as shipping directly to lockers without additional packaging, improving speed while reducing cost. With this effort, Average buyer waiting time improved 12% in the first quarter year-on-year. We reported double-digit GMV growth year-on-year in the first quarter in Taiwan, deepening e-commerce penetration and strengthening our market leadership there. Second, our Shocking VIP program. This subscription-based membership program continues to gain strong traction and drive user engagement. By the end of March, Total subscribers across our Asian markets surpassed 10 million, up more than 40% from the previous quarter, with strong program retention averaging above 80%. Across all markets, our Shopping VIP members have consistently demonstrated double-digit spending uplift after subscribing by as much as 30% to 40% in some markets. Shopping VIP members now contributes around 20% of GMV across Asia. Building on this success, we have rolled out our Shopping VIP program in Brazil in April. Third, our content ecosystem continues to grow healthily. In the first quarter, orders from live streaming and short-form video grew more than 50% year-on-year.

These orders accounted for more than 25% of total physical goods orders in Southeast Asia. To further strengthen our content ecosystem, we continue to deepen our content partnerships, orders driven by YouTube more than doubled year on year. Our collaboration with Meta is scaling well, with over 4.5 million affiliates across our market, up nearly 30% quarter on quarter. In Indonesia, we have extended our Meta collaboration to enable seamless product promotion and checkout not just on Facebook, but also on Instagram. I would also like to highlight our strong performance in Brazil and the growing role AI is playing in our business. Brazil was our fastest growing market in the first quarter while continuing to be profitable. We continue to outpace the market on GMB growth driven by increases in active buyers, purchase frequency, and average basket size. This strong performance was supported by solid fundamentals, including wide product assortment at competitive prices and our structural logistics cost advantage. We also made steady progress strengthening our presence in the upmarket segment, enabled by our strong logistics capability. We continued to improve delivery time by more than one day in the first quarter compared to last year. We opened three new fulfillment centers, bringing our total to five. These efforts allowed us to onboard more merchants, especially to Shopee More, supporting stronger spending among buyers. In the first quarter, GME from Shopee More sellers more than doubled year on year and now contributes around 15% of GME. We remain confident in Brazil's long-term growth potential and in our ability to further strengthen our competitive position in this market. On to AI. We have taken a practical, resource-oriented approach, embedding AI into our operations to drive better outcomes for our users and greater efficiency across our platform. It is already making a meaningful impact. AI-powered enhancements to our search and recommendation algorithm have led to better product discovery. Our AI-generated content tools are helping sellers create more compelling product listings. This effort supported a 14% improvement in purchase conversion rates year-on-year in the first quarter. An AI-driven personalization and the targeting helped to contribute to the strong year-on-year ad revenue growth we saw this quarter. On the cost side, Around 80% of customer queries are now handled by our AI chatbot. AI usage helps reduce customer service cost per contact by around 30% year-on-year, while maintaining high satisfaction rates. Looking ahead, we are exploring authentic AI experiences. For buyers, we are testing an AI Shopping Assistant that leverages purchase history and preferences to deliver personalized recommendations and optimize savings. For sellers, we are building an AI agent that acts as a virtual business advisor, providing diagnostic and actionable insights on shop performance. Both are in early stages. We plan to roll them out more widely over time. In summary, Shopee has had a great start to 2026. delivering strong growth while maintaining financial discipline. We are being deliberate about where we invest in delivery, fulfillment, our Shopee VIP membership program, and user acquisition. We are already seeing some improvement in unique economics and we expect this to continue over time. Looking ahead, we are confident in the strength of our Shopee ecosystem and our ability to execute our strategies. we are on track to deliver our 2026 guidance to grow Shopee's annual GMV by around 25% year-on-year, with full-year adjusted EBITDA no lower than 2025 in absolute dollar terms. Next, moving to money. Money also had a strong start to the year, with robust year-on-year growth across both revenue and adjusted EBITDA. Credit continues to be the primary driver of our growth. Our loan book reached $9.9 billion at the end of March, an increase of more than 70% year-on-year while maintaining stable asset quality. We continue to expand the credit business along three fronts. First, by deepening existing user relationships, offering them more credit as we get to know them and their repayment behavior better. Second, by acquiring new users, especially in segments with better risk score and greater affluence. These users tend to have better repayment behavior and higher borrowing capacity. Our campaign to attract such new users with competitive pricing, higher limits, and longer tenure are showing early signs of success. And third, by expanding our credit use cases beyond Shopee, an important runway for future growth. We are making good headway with off-Shopee expansion. More users are progressing from on-Shopee as pay later to off-Shopee as pay later and personal cash flow. Following strong momentum in Malaysia, we are also seeing good traction in some other markets. Off-shopping SPLater loans in Thailand and Indonesia exceeded 20% of the SPLater portfolio at the end of the quarter. Notably, we are seeing strong growth in higher-value categories such as electronics and two-wheelers in Indonesia, where installment credit plays a meaningful role in enabling such purchases. Taken together, This effort resulted in strong growth in both user numbers and the loan outstanding per user. In the first quarter, we added 4.9 million first-time borrowers. Our active credit users crossed 38 million at the end of the quarter, an increase of more than 35% year-on-year. An average loan outstanding per user grew to around $250 at the end of the quarter, 25% higher year-on-year. Brazil has become our fourth market to cross $1 billion in loan book size, growing over 250% year-on-year. The strong growth momentum was supported by a localized product we introduced last year, a combined escalator and a cash loan limit that aligns well with how Brazilian consumers utilize credit. This led to strong user growth with higher repeat usage where average loan outstanding per user more than doubled compared to last year. S&P later penetration on Shopee is around 10% of GMV in Brazil, well below our more mature market, indicating substantial headroom for growth. We also obtained the FDFI license in Brazil during the quarter, allowing us to broaden the scope of financial services we can offer. We are still in the early stages of scaling this business in Brazil with a strong foundation in place to support future growth. Risk management remains our top priority. Our 90-day NPL ratio remains stable at 1.1% at the end of the quarter. This reflects the strength of our underwriting capabilities and the disciplined way we expand across users and markets. Our deep understanding of our market and the borrowers allows us to respond quickly to macro changes. Our loans typically have short tenure and we can adapt our product success, credit limit, and the tenure in real time. These attributes enable us to adjust our risk appetite and optimize our asset quality as we scale. In summary, money continues to grow healthily. expansion into more user segments, offshore key use cases, and early markets like Brazil are giving us a much larger addressable opportunity across our portfolio. We remain confident that money will be a significant long-term profit contributor for SEA. Next, turning to Garena. Garena had a stellar start to 2026. delivering its best quarter since 2021. Bookings were up 20% and adjusted EBITDA to 25% year-on-year. This performance was driven by the continued strength of Free Fire alongside a record contribution from Arena of Valor. In January, Free Fire launched a major collaboration with the popular anime Fujitsu Kaisen. As with our previous collaboration, we invested significant effort in bringing core elements of the anime into gameplay. We transformed a part of the map into settings from the Jujutsu High School and introduced a cursed energy resource that the players could collect to activate special character abilities. For instance, Gojo's Unlimited Voice, one of the highest level techniques from the anime, allowed the players to draw their opponent into a separate domain for a one-on-one site. Clear resonates strongly with the campaign's attention to detail and authentic visual effects. This collaboration generated over 700 million official content views, making this one of our most successful IP partnerships to date. Taken together with the highly successful Naruto Shipton collaboration last year, we have demonstrated our ability to consistently execute high-impact partnerships with global IP owners. We are also evolving how we sell our content globally. One of Free Fire's long-standing strengths is our ability to hyper-localize the game for players. This year, we have challenged ourselves to both localize and globalize some of this content, making it highly resonate for target markets and also enjoyable for everyone else. A good example from the first quarter is our Ramadan campaign. In past years, this campaign was only launched in Ramadan observance markets. This year, we scaled it into a global event under a lots of treasure theme. Players from markets celebrating Ramadan recognize this as a festive event catering to them, while players from other markets saw it as a desert-themed campaign that was new, interesting, and fun to play. During matches, players could find treasure maps triggering team-based missions, guiding them to hidden treasure locations. This highly interactive campaign resonated strongly across markets. Global social media platform impressions exceeded 120 billion, up around 70% compared to last year's Ramadan campaign. The strong response we got to this campaign shows our growing capability to take culturally rooted events from local markets and expand them into globally resonant content. Globalizing campaigns let us pool resources, elevate content quality, and deliver more frequent and distinctive experiences to our players. Beyond Free Fire, Arena of Valor delivered record high quarterly bookings in the first quarter in its tenth year of operation. The sustained success of both games demonstrates our unique ability to operate games well across genres, in multiple markets, and over long periods of time. Arena has started 2026 with great momentum. We will remain focused on delivering fresh experiences and building the long-term value of our game portfolio. In conclusion, we have started 2026 well, with each business expanding its addressable opportunity while strengthening its competitive position. Meanwhile, across our ecosystem, we see the AI era creating significant opportunities for a company like ours. With established skill, reach cross-vertical data, and deep local expertise. We are investing deliberately to capture the growth runway ahead, and we are confident of continuing to deliver robust top-line growth while improving our adjusted EBITDA year-on-year. With that, I invite Tony to discuss our financials.

TONY HO Chief Financial Officer

Thank you, Boris, and thanks to everyone for joining the call. We'll see you overall. total gap revenue increased 47% year-on-year to $7.1 billion in the first quarter of 2026. This was primarily driven by growth in Shopee and money. Our total adjusted EBITDA was up by 9% year-on-year to $1 billion in the first quarter of 2026. On Shopee, growth orders increased 29% year-on-year to $4 billion in the first quarter of 2026. and GME increased by 30% year-on-year to $37.3 billion in the first quarter of 2016. Our first quarter GAAP revenue of $5.1 billion included GAAP marketplace revenue of $4.5 billion, up 44% year-on-year, and GAAP product revenue of $0.6 billion. Within GAAP marketplace revenue, core marketplace revenue mainly consisting of transaction-based fees and advertising revenues was $3.8 billion, up 61% year-on-year. Value-added services revenue, mainly consisting of revenues related to logistics services, was $0.7 billion. Shopping adjusted EBITDA was $223 million in the first quarter of 2026, compared to an adjusted EBITDA of $264 million in the first quarter of 2025. This year-on-year change primarily reflects our increased investments in delivery, performance, our Shopee VIP membership program, and user acquisition, partially offset by higher monetization. Money gap revenue was up by 58% year-on-year to $1.2 billion in the first quarter of 2026. Adjusted EBITDA was up by 14% year-on-year. to $275 million in the first quarter of 2016. As of the end of March, our consumer and SME loans principal outstanding reached $9.9 billion, up 71% year-on-year. This consists of $8.8 billion on-book and $1.1 billion off-book loan principal outstanding. Non-performing loans passed due by more than 90 days as a percentage of total consumer and SME loans was 1.1% at the end of the quarter. Garena bookings grew 20% year on year to $931 million. GAAP revenue was up by 41% year on year to $697 million. The growth was primarily due to the increase in our active user base and deeper paying user penetration. Garena adjusted EBITDA was up by 25% year on year to $574 million. Returning to our consolidated numbers, we recognized a net non-operating income of $62 million in the first quarter of 2026, compared to a net non-operating income of $89 million in the first quarter of 2025. We had a net income tax expense of $214 million in the first quarter of 2026, compared to net income tax expense of $136 million in the first quarter of 2025. As a result, net income was up by 7% year-on-year to $438 million.

REBECCA LEE Investor Relations

Thank you, Forrest and Tony. We are now ready to open the call to questions. Operator?

OPERATOR Operator

We will now begin the question and answer session. If you would like to ask a question during this time, simply press star followed by the number one on your telephone keypad. If you would like to withdraw your question, simply press star one again. In the interest of time, we will take a maximum of two questions at a time from each caller. If you wish to ask more questions, please request to join the question queue again after your first questions have been answered. At this time, we will pause momentarily to assemble our roster. Your first question comes from line of Alicia Yap of Citigroup. Your line is open.

ALICIA YAP Analyst, Citigroup

Hi, good evening, management. Thanks for taking my questions. Congratulations on the strong results. I have two questions. First of all, on e-commerce. So looking at your 30% GMV growth, 29% order growth seems to be suggesting is a decent increase in the ASP. So could management share what you have observed during this past quarter? So how much of the strength of the GMV is attributed to your deeper penetration in the higher end user and higher ASP product in Brazil? Obviously follow your strategic expansion in your warehouse fulfillment And how much of that could be attributed to the highest stickiness of your VIP members across the Southeast Asian regions and also Taiwan? And then following up on that is that despite delivering the 30% GNV growth, management still maintained a full year GNV growth of 25%. So is that because of the higher base of the second half of 2025, or is it management being conservative in light of the macro uncertainty? So any colors management could share or elaborate would be helpful. And then a second very quick one is on your gaming, a very strong booking growth. So do you expect this strong rebound of Arena of Valor could set a tone for the continuous strength and rebound of the game for the rest of this year, or is it just more a one-off due to the seasonality and promotion?

CHRIS FUNG President

Thank you. On the growth for Shopee, we see a combination of growth from both Brazil and South Asia. Overall, Brazil does grow slightly faster. than South Asia, but I think it's probably not only driven by the Brazil side. I think as you've already pointed out, we try to have more fulfillment businesses in Brazil. We also have more sellers joining us in Brazil, which contributes to a high-end user segment attractiveness. The Shopee VIP has been driven quite a lot of growth in Asia as well, as far as mentioned in the opening For the GMV guidance, Q1 has Ramadan and also both, and also Chinese New Year fall into the quarter. We see very good seasonality attribute to part of the growth. We also see that many of the initiatives we implement from last year, including the VIPs, including the instant deliveries, including the AI-enabled better discovery that we roll out to our platform. All this contributes to a better growth than we expected in Q1. As of the future guidance, I think we will observe how the market evolves. It's a bit early to forecast full year at this stage. We will communicate with the market as we see better indications from the growth trend in the market.

FORREST LEE Chief Chairman and Chief Executive Officer

> Regarding Garena, we are very encouraged by Arena Valor's performance this quarter. It delivered record high bookings in Q1 in its 10th year of operation, which really speaks to the enduring appeal of the game and our team's ability to keep the experience fresh and engaging for players. This is not a one-off. We have been making deliberate investments in content updates and community engagement that are driving real results. With a content-packed year to celebrate the game's 10th anniversary, we expect 2026 to be a record year for Arena of Valor. That said, Q1 is indeed a seasonally stronger quarter for gaming, benefit from Lunar New Year, which is a key engagement period. So we are mindful of that when looking at the sequential trend. As you know, gaming performance can also vary from quarter to quarter depending on the timing of content release, empty collaborations, and the seasonal events. But the underlying health of the franchise in terms of user engagement and the paying user penetration give us confidence. We remain confident in delivering strong year-on-year booking scrolls for Garena for the full year, and Arena balance reaching new highs in its 10th year give us even stronger conviction that we can do the same with Free Fire over the long run.

OPERATOR Operator

> Your next question comes from the line of Divya. Kothiel of Morgan Stanley, your line is open.

DIVYA KOTHIEL Analyst, Morgan Stanley

Thank you very much. My first question is on Brazil. So the growth in Brazil has been clearly very strong for Shopee. But how should we think about the margin cadence there for this year, especially since we are seeing the market leader has dialed up their own investments in the market? Brazil has been profitable this quarter, but would love to hear your thoughts on how you're thinking about Brazil profitability when you give the full year guidance for e-commerce EBITDA targets. Also, are there any early learnings from the loan book ramp up in Brazil and how different are the returns versus ASEAN? So that's my first question on Brazil. My second question is on e-commerce take rates. We're seeing e-commerce take rates have risen very consistently this quarter, especially in ASEAN. I would like to hear your perspective on how much of these increases are being reinvested back into seller rebates or consumer incentives, and are you seeing ASEAN e-commerce margins actually improve? Also, given the rise in cost inflation, there has been some pushback by sellers in markets like Thailand about these hikes, but are you broadly seeing these increases being well accepted by sellers, or are we kind of reaching a cap on commissions per se? Thank you.

CHRIS FUNG President

In terms of the Brazil growth, we see, as you've already pointed out, we see very strong growth in Brazil. If you look at Q1, we grow well ahead of the market growth in the market, which enables us to gain better market shares, which in turn gives us better skills to drive down our cost to serve in the market. We have been profitable in Brazil for the for the last few consecutive quarters. I don't foresee any change towards that at this point in time. We will still continue to grow healthily in Brazil, likely with the profitable margins as we see right now. Again, while saying that, we do commit to investing to Brazil, especially for the few areas we mentioned, like the fulfillment network that we are building. We are further expanding our same-day delivery in Brazil. We also have the VIP program in Brazil as well. I think all those will be rolled out in Brazil over time to drive further growth. In terms of the loan book in Brazil, we've been doing very well in Brazil on the loan side. We actually have more than one billion outstanding in Brazil already, which is kind of very high growth year to year, if you look at last year Q1. I think the key driver for us is to localize the products. We didn't take the Asian products, you know, to take to Brazil. We localize the product. For example, we have a single flexible limit the user can draw across the escalator and the personal cash loans based on what they need. We also spend a lot of effort on localizing the data sources, not only from the shopping data, but we also draw data from the open banking networks in Brazil. which give us a pretty good impact in terms of the risk profiles. I think that's part of the reason that we see better risks in Brazil, which enable us to expand more user pools while maintaining the profit profile in the market. Overall, we are seeing the very early days of the market penetration in Brazil for the lending businesses. If you compare our sizes versus some of our peers in the market for financial services, There's a huge room ahead of us in terms of growing the businesses in Brazil. In terms of the e-commerce take rate, I think the simpler way to look at this was we did increase part of the take rate. We also have our EBITDA margin reasonably similar to previous quarters. So a big part of that will be reinvested into the market to drive the growth. Again, the area we invest in, the few areas mentioned, the fulfillment networks, we're building the VIP programs, etc. But generally, we see that In most of the markets, we see a good margins quarter over quarter for our ASEAN market. On the seller commission reactions from the market, the most important thing for us is to look at how the seller commission impacts the pricing. We look at the impact of commission increase on pricing compared to the peers in the online market and we also compare with the pricing compared with the offline market. Pricing is one of the most important for us as we mentioned our time. We still see a very price competitiveness in our platform. I think going forward, I think we will still kind of look at the dynamics and decide what's the best way to manage the commission part. But again, I think the most important thing is we're able to deliver profit to the sellers. The profit is depending on number one is how much commission we're taking. Number two is how much cost they're running our platform. Number three was the volume we're driving for them, our platforms. With slightly higher commissions, we spend a lot of effort on reducing the cost of running businesses on our platform. For example, we offer an AI-powered chatbot for the sellers so they can do customer service with their buyers automatically without sort of hiring more customer service agents. For example, we help them technologist their businesses a lot easier with our AI-powered agents in our seller centers, et cetera. And at the same time, as we always share that with still fast growth in our market, seller has a bigger pie to draw from. So all this contributes to sort of a healthy ecosystem when we look at the seller commission plans.

OPERATOR Operator

> Your next question comes from line of Nevin Killa of UBS. Your line is open.

NEVIN KILLA Analyst, UBS

Hi, thank you for the opportunity and congrats on the strong results. I had a couple of questions. So if I look at your e-commerce, I guess absolutely big in Q1 this year compared to Q1 last year, you know, there's obviously a moderate decline. I just wanted to understand if you could help us kind of you know get a better sense of where this decline is coming from geographically um if you split between let's say brazil taiwan and southeast asia and also as things you know hopefully improve over the next couple of years um how will the state of that be in terms of the magnitude of growth inhibitor coming from each of the regions and secondly on on on fintech um again the margins have obviously been inching down Is there a steady state number that we should be looking at and a timeframe over which you can get there?

CHRIS FUNG President

First of all, let's start with the e-commerce side. I think you are absolutely right on that slightly lower EBITDA year to year. I think the other way to look at this was that if you look at last quarter in Q4 2025, we do see a slight increase on the EBITDA from Q4 last year to Q1 this year. I think there are many reasons driving the dynamics here. Last year was the first year that Ramadan falling to Q1, which is a different analogy that we had for many, many years. I think there were some adjustments that we have to learn from how does this analogy impact the businesses. I think we have better this year compared to last year. I think part of the reason also because we launched a bunch of initiatives to further drive the growth this year as we shared across the course. Some of that started from later part of last year, which kind of continued to Q1 this year. For this near term in 2026, I think we share with our guidance, we expect a pretty good growth of 25% with the bottom line EBITDA at least not worse than last year. I think we'll see how this evolves over the quarters. In terms of the medium to long term, we still maintain our judgment that I would believe that 2-3% EBITDA margin is something we target to achieve. In terms of the think tank, The FinTech margin, one thing we look at very closely is our absolute returns. When we grow our loan outstanding, we would like to make sure that additional loan will bring a positive EBITDA in absolute terms. We do recognize that the EBITDA, if you compare with the outstanding as a ratio, It might fluctuate that eventually might go down a bit over time If you look at over-the-quarters, I think largely driven by the mix of different countries and different products I was earlier to market for example, like Indonesia Philippines does have a higher away compared to the market that coming a bit later to the portfolio if you look at this Italian or Malaysia exam, etc and So this drives, if you look at the ratios, a slightly lower ROA as time goes. I think at this point in time, the business is really early. We see a huge potential in front of us, especially if you look at some of the new market growth. Even if you look at Thailand, Malaysia, or the Brazil we talked about, there is a big potential ahead of us. And just now we talked about Brazil, our outstanding compared to the peers' outstanding. That's a huge room for us. We also try to develop the non-shoppy ecosystems. For example, I think Boris mentioned the cell phone stores, the two-wheel stores. I think all of this are pretty dynamic. I think it's a bit too early to guide a steady-state number at this stage. It's a pretty... much impacted by the country and product mix.

OPERATOR Operator

> Your next question comes from the line of Yong Xiao of Barclays. Your line is open.

YONG XIAO Analyst, Barclays

Thank you very much for taking my questions. I have two as well. If I may, I'm going to just ask one at a time. Firstly, would you be able to just talk about the potential impact from a higher fuel prices? I know the conflict in Middle East started in March. You probably did not see too much of the impact in Q1, but if the oil price stay at current level for longer, how would that affect your cost? Would you be able to pass on some of the costs to either the sellers or consumers? Any comments would be helpful. Then I have a second question.

CHRIS FUNG President

Yeah, it's clearly something we look at very closely in terms of the oil price impact to our businesses. I think there are a few degrees of impact when we look at this. The first degree of impact is just absolute oil price. It does impact our operation costs. I think the good thing is that We leverage quite a lot of the subsidies from the government in our countries where it helps us to absorb the cost increase in many countries, especially the last mile delivery, which is the largest part of the delivery cost. We also work closely with our partners, like, for example, our line haul partners, our airline partners to match the costs together. So, all in all, if you look at actual cost, it does have impact in our cost, but we believe we can manage it within the guidance that we're giving out. And also, in terms of timing, you're absolutely right that the Q2 will probably see more impact than Q1 in terms of cost. I think that's the first degree of impact. I think the second degree of impact is potentially this might impact the spending powers in some of the countries if they have to spend more money on the gas stations. I think generally we're seeing moderate impact in our platform. I think the most important reason for that is our platform is actually the cheapest platform you can find the products that people essentially needed. So when people are looking for a savings, actually we look at us more. Our platform is also a more essential product platform rather than something that people buy a luxury product from or discretionary spending, less spending in our platform compared to let's say offline spending, et cetera. So all this helps us to show the impact from the second degree impact that we that thing.

YONG XIAO Analyst, Barclays

OK, great, very helpful. Thank you for that. My second question is about your fulfillment build out. You talked about adding three fulfillment centers. I think in Q1 in Brazil. Could you could you talk about some of your perhaps like near term targets and long term targets? For example, as you know, one of your peers in Brazil is adding, I think, over a dozen FCs this year in Brazil. So if you can share with some of your thoughts, both near-term and long-term. And on top of that, the pace of the investment is that you're adding, let's say, some fulfillment centers this year, and then next year take a pause to absorb some of the capacity, then perhaps add more after that. So just help us understand the pace when you build out your fulfillment infrastructure from relatively a low base, from timing-wise, low base compared to our competitors, obviously, and any sort of a timetable for getting returns of this investment. Thank you so much.

CHRIS FUNG President

So on the fulfillment businesses, I think especially for Brazil, I think that you referred to, we do have our expectations on growing more percent of businesses from fulfillment as we build out. Things we started recently, not too long time ago, we are still in the early stage of building out the fulfillment businesses. I think, typically, we actually don't overbuild too much. So our capacity utilization in our performance center is relatively high. And I think the core reason for that is we're able to project, predict how much of the volume for humans well ahead of the time. then we build our fulfillment center according to the timetables. So it's probably unlikely that we're going to do a lot this year and we stop next year while waiting for the fulfillment center to be filled, then we build again. I think it's more going to be a continuous process while we are building the fulfillment center. And ultimately, we would like to have our fulfillment center the overall size is bigger than our close competitors in the market in terms of absolute volumes. But I think it would take a few years to get there, given we just stopped it later. In terms of the return on investment, if you look at individual fulfillment centers, typically the infrastructure, the CAPEX, It's actually not that high as we don't own the perfumery center itself. We typically rent a perfumery center. The contract essentially is to make sure the perfumery center is well equipped. So if you look at that particular part of investment, the return on investment is pretty fast. It's not that long ahead of the time. The other part of investment we're doing for the perfumery businesses is more move the seller to be part of Postman Center and advocate the buyer to understand the procurement businesses that we have. So that's part of the ongoing investment we use to drive business growth.

OPERATOR Operator

> Your next question comes from the line of Ranjan Sharma of J.P. Morgan. Your line is open.

RANJAN SHARMA Analyst, J.P. Morgan

Hi, good evening and thank you for the presentation and congratulations on the results. Three quick questions from my side. Firstly, how do you see the economics of the VIP program? Will you consider optimizing the value offered to consumers or the subscription price charged to the customer? The second question is, given the momentum on Free Fire and Arena of Valor and the content coming in the coming periods, how should we think about the growth of the gross bookings this year? The last question is, can you help us understand how you evaluate the intrinsic value of C? We know you have a billion-dollar buyback, but you have only executed $170 million or so, despite the stock price reaching $78 at some point. So it will help you understand how you're thinking about the buyback going forward. Thank you.

CHRIS FUNG President

On the VIP program, I think there are two parts of the offering that we are providing to the market. Part of offering is the shopping offering. For example, in some markets, if you join the VIP, you can get a free shipping, et cetera. Part of that is with our partner offer to our users. One of the key things we are working on is to expand our partner pools so we can strongly offer the benefits to our users. For example, the ChangeEBT program that we offer to our users, which is very well accepted and liked. There are quite a few other partners we are going to announce actually not too far away. while working on the system integration, et cetera. So all this work, all these partners' offerings will help us in terms of the unit economics over time. And also for the pricing, we clearly look at the pricing. There's the potential to have a different tiering as well for the pricing, depends on how the market reactions and how the economic look for different segment of users. and also depends on what we have partnered with, et cetera. But at this point in time, you know, we were still going to invest a bit more on the VIP program, giving that the retention we see on the user base and also the uplift of the activities from the VIP users. But eventually, We do see VIP program can be an even more profitable program compared to the non-VIP program, giving the techniques of the users, giving the ability for us to bring the benefits to our partners.

OPERATOR Operator

> Your next question comes from the line of Ellie Jiang of Macquarie. Your line is open.

FORREST LEE Chief Chairman and Chief Executive Officer

> Sorry, Joe, please go ahead. Yeah, there is a, yeah. For the growth booking for Garena for the rest of the year, at this moment, we remain very, very confident, and we think this year we have a very strong growth, and we remain the guidance we gave during the last time earning call. And in terms of your question of the buyback considerations, as we shared in our earnings release, and we have actively bought back our shares since last November, and we're going to continue doing so. And as we shared, we remain very confident about our three vertical businesses and also the strong growth potential of our market. So that's the key underlying considerations when we buy back our shares.

OPERATOR Operator

> My apologies, Elish Yang. Your line is now open.

ELLIE JIANG Analyst, Macquarie

Great. Thank you so much, management, for taking my questions. I've got two. One is a follow-up on the prior question on Shopee VIP. Just wanted to have a better understanding of the current progress of the VIP members, because clearly you guys have been making pretty good progress on kind of penetrating into many of the core operating markets, and it seems like it has reflected positively on both user frequency as well as for the ticket size. So going forward, what would be the key KPIs? Would it be, you know, the percentage of penetrations in several key markets via over you know, certain percentage of their total MAUs, or would it be certain GMV thresholds that you guys will be monitoring? I just wanted to get an understanding of kind of that investment kind of reflection sort of in the next several quarters. So that's the first part of the question. The second would be on money. So can management shed some lights on the actual breakdown of the business, including, for example, the country mix, also on Shopee, and offshore fee percentage point. Ultimately, the latest quarter of 71% of your increase in consumer and SMA loan principal outstanding was very impressive, especially given that you guys can control the asset, the loan quality at a very high level. So can you talk about, kind of the key factors in the upcoming years, you know, what will be the key figures to continuously contribute to such strong growth momentum for the loan book as well as for the revenue as well. Thank you.

CHRIS FUNG President

I'll stop right here. I think there are key, there are a few key numbers we look at. For example, the penetration of our GMBs, the retention of our users, And also the unique nomics for this part of the program. I think there are a few things that's actually quite important for us to look at. I think the other key thing we look at is how many partners that we have in the VIP program, as I shared just now. It's important for us to make sure that we bring benefits to our users, not only from Shopee, but also from our partners as well. We started Shopping VIP in Indonesia first. I think we see very good progress there. I think as we roll out to more countries, we see essentially we learn more from the early countries and roll out similar learning to other countries. For the money businesses, As I said earlier, we started first in the early countries like Indonesia, et cetera, but the newer countries like Thailand, Malaysia, or Brazil have kind of, especially because they are later countries, they grow faster compared to the older countries in a way. So the share between the countries will dynamically adjust because of the timing of the rollout of our products. I don't think we give a precise country mix to the market. In terms of the on-Shopee and off-Shopee, the on-Shopee, especially the escalator on-Shopee, was the majority when we started with. Now it's less than half of the business already. And even if you compare with the escalator on-Shopee, and versus off-Shopee, the percentage of escalator off-Shopee is about 20% already as a total escalator on-Shopee and off-Shopee, which is a significant milestone for us. This proves that we're not only be able to drive our escalator or in general lending in the Shopee ecosystem, but also we successfully drive this Shopee ecosystem. And in fact, we see higher growth in the off-Shopee ecosystem versus the on-Shopee part of the businesses. The key factor driving the growth, again, the three elements. One is within our current user base, we still see a possibility to drive more credit adoption. And this will come with more products grow up to this group of users and better credit assessment as we accumulate more data over time. And also deep integration with Shopee and expanding of our non-Shopee scenarios for this group of users. I think essentially even within the same user base, we see a future room for us to deepen the credit penetration. The second one is essentially expanding the new scenarios beyond what we have right now, where the user can spend their credit limit on. This including, for example, we partner with more online merchants who can accept SPLater, partner with more merchants offline so they can accept SPLater as well. Even for our In some upper market where credit card is bigger, we roll out a debit card system leveraging on expedited credit limit so they can use our expedited credit through a card network as well. So all this will expand the pool, addressable market pool for our user base. I think the third thing is for us to continue to expand to new user segments. I think that's very important for us as well. I believe, as I mentioned in the opening too, that as we started more from a subprime market segment, when we accumulated more risk data and also better our risk models, and we are able to expand to a more prime user segment with five different products in various markets. This user might have a slightly lower ROA, but this gives us a bigger outstanding pool for us. I think all this will drive the growth of our lending businesses in the coming years across our market.

OPERATOR Operator

> This concludes our Q&A session. Now let's turn the conference back over to Ms. Rebecca Lee for any closing remarks.

REBECCA LEE Investor Relations

> Thank you all for joining today's call. We look forward to speaking to all of you again next quarter.

OPERATOR Operator

> The conference is now concluded. Thank you for attending today's presentation. You may now disconnect.